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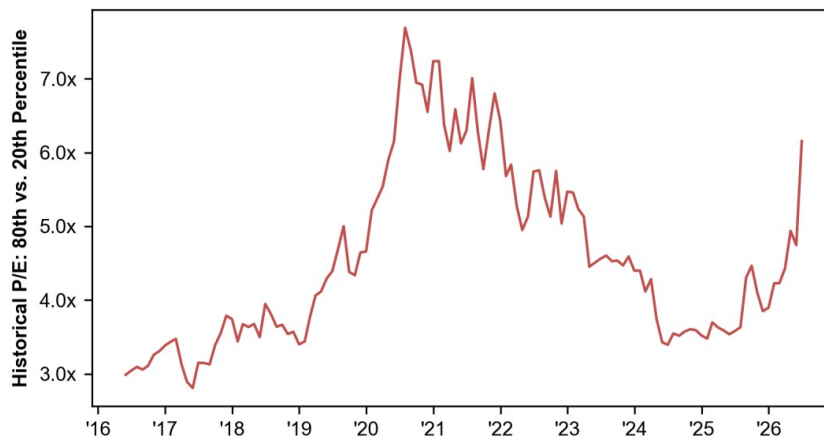
China Quant Strategy

Expensive leadership is starting to look fragile; hedge with low vol, high quality yielders

Our [call](#) favoring **Growth over Value** has worked well so far with Growth outperforming Value by **4.5%** since June 15th. June's style tape was consistent with that view: Momentum and Growth rose 9.8% and 7.4%, respectively, while Value fell 7.5%. However, the market was again rewarding a narrow and increasingly expensive right tail while the broader universe was under pressure: MSCI China declined 7.1% in June and 73% of stocks moved lower with the market.

Valuation spreads suggest that the market was still paying up for winners even as the average stock remained weak, as the gap between **Expensive** and **Cheap** stocks widened in June. The **Expensive** group now trades at **more than 6x** the multiple of the **Cheap** group, with median P/E of 114.9x and 6.3x, respectively. **Valuations of the winners are starting to look stretched.**

Figure 1: Valuation Ratio: Expensive vs. Cheap



Source: J.P. Morgan; MSCI, FactSet

That does not automatically make the expensive stocks wrong, nor the cheap stocks right. Expensive can stay expensive when earnings momentum, liquidity, and narrative all point in the same direction. But when the market pays almost any price for a small set of winners while most stocks are falling, the burden of proof shifts.

The current spread also differs from the COVID recovery spread peak in late 2020. While the cheap side looks more familiar (Banks, Insurance, Capital Goods, Utilities, and other lower-multiple groups), the expensive tail today is much more concentrated in **Technology Hardware, Semiconductors, and Materials**. That makes the June rally in Momentum and Growth look less like a broad endorsement of growth assets and more like a crowded, FOMO AI trade.

APAC Quantitative Strategy

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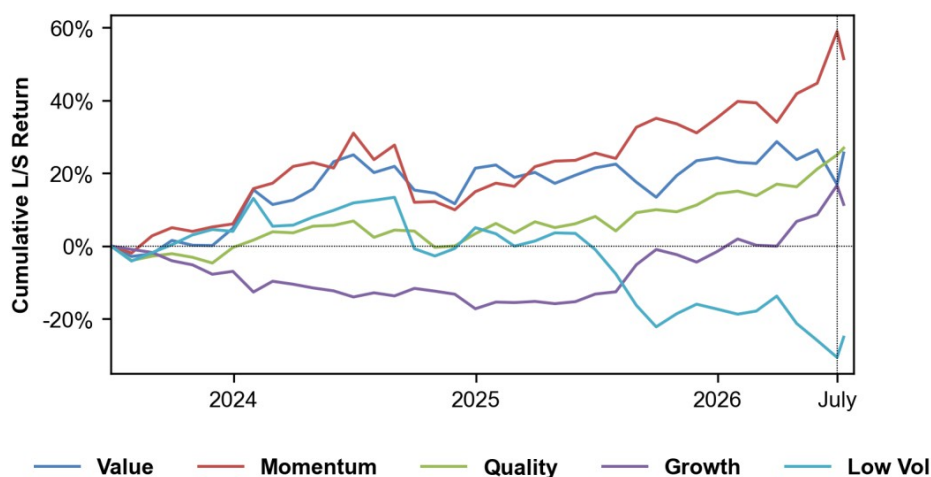
Table 1: Thematic and Concentration Differences vs. Last Peak in 2020

Expensive Stocks				Cheap Stocks			
Last Peak	Count	Now	Count	Last Peak	Count	Now	Count
BioPharma	21	Tech Hardware	31	REITs	36	Banks	36
Tech Hardware	14	Semis	26	Banks	29	Insurance	12
Cap Goods	13	Materials	15	Cap Goods	17	Cap Goods	8
Materials	12	Cap Goods	7	Energy	9	Utilities	8
Software	11	BioPharma	7	Materials	7	Materials	7
Fin Services	11	Software	4	Insurance	7	Transportation	4
Other	53	Other	11	Other	29	Other	26

Source: J.P. Morgan; MSCI, FactSet

The early July tape supports that interpretation. Month-to-date, **Momentum is down 4.7%** and **Growth is down 4.5%**, while **Value has rebounded 7.4%** and **Low Volatility is up 8.0%**. We would be careful not to overstate a few days of reversal. Short-term rotations can be noisy, and crowded trades can reassert themselves quickly. But the move is consistent with the setup: when valuations are stretched, dispersion is extreme, and leadership is narrow, the market might not need a major macro shock to rotate. It may only need investors to ask whether the winners are already priced for too much winning.

Figure 2: Key Style Performance in the Last Three Years



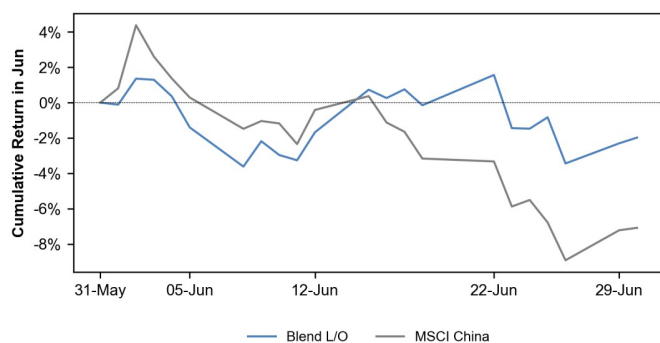
Source: J.P. Morgan; MSCI, FactSet, I/B/E/S.

Against this backdrop, we recommend adding a **defensive, high-quality Value hedge** to Momentum, rather than simply OW Value over Growth or vice versa. The objective is not to position for an end to Momo/Growth leadership, but to participate if the market continues to rotate away from the most expensive winners and back toward cheaper, more defensive names.

Our proposed implementation is a combination of Low Vol, Div Yield, Quality and Size: stocks that sit at the intersection of bottom-third volatility, top-third yield, top-half Quality, and top-half market cap. The screen produces 31 stocks, with a median historical **P/E of 12.3x** and a median historical **div yield of 5.5%**. Sector exposure naturally tilts toward **food & beverage, banks, appliances & apparel, energy, and transportation**. We think this profile fits the current set-up: inexpensive enough to offer valuation support, income-backed to help cushion volatility, and quality-aware to reduce value-trap risk and preserve exposure to potential revaluation.

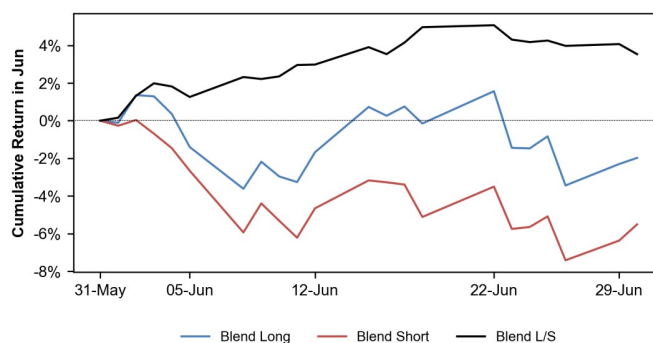
As an all-weather benchmark, our Multifactor Blend performed well in June. The long portfolio was down 2.0% vs. MSCI China down 7.1%. With the short book down 5.5%, the L/S gained 3.5%. For July, the Blend model adds to longs mainly energy, IT, materials, and brokers, including PetroChina, Sungrow Power, Kingboard Laminates, CITIC Securities, Jiangxi Copper, etc. On the shorts, the model adds Wuliangye, Huatai Securities, Hua Hong Semiconductor, Changan Auto, Hainan Airlines, etc.

Figure 3: Multifactor Blend: Long-Only vs. Market



Source: J.P. Morgan; MSCI, FactSet, I/B/E/S, Bloomberg Finance L.P.

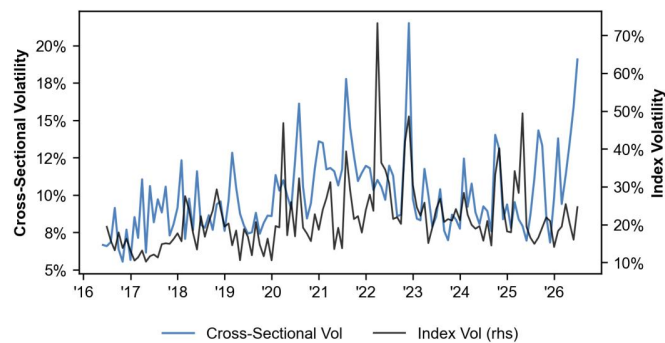
Figure 4: Multifactor Blend: Long/Short



Source: J.P. Morgan; MSCI, FactSet, I/B/E/S, Bloomberg Finance L.P.

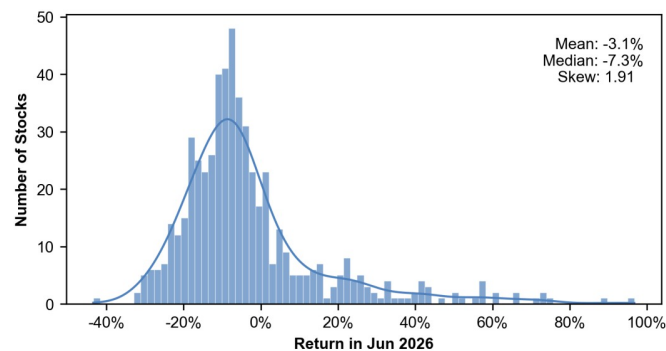
We flagged that cross-sectional vol was already elevated at the 98th percentile as of May. In June, it rose further to the **99th percentile** of the past 10 years. Index vol also caught up, moving from the **29th percentile** to the **77th percentile**.

Figure 5: MSCI China Index Vol vs. Cross-Sectional Vol



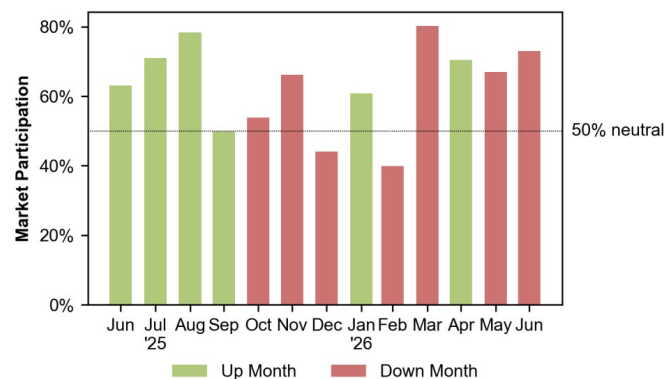
Source: J.P. Morgan; MSCI, FactSet; As of Jun 30

Figure 6: Monthly Return Distribution of June



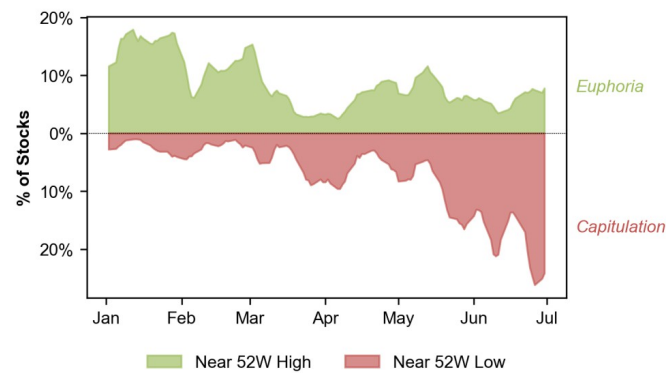
Source: J.P. Morgan; MSCI, FactSet

Figure 7: Stocks Matching the Direction of the Market



Source: J.P. Morgan; MSCI, FactSet. Note: Past performance is not an indicator of future results.

Figure 8: Stocks Near 52-Week Extremes



Source: J.P. Morgan; MSCI, FactSet

Table 2: Low Vol, High Quality Yielders

Low Vol & High Quality Yielders			
SEDOL	Company	Sector	1M Return
BP3R2X9	China United Network Communications Limited Clas	Comm Svcs	-7.1%
BKPQZT6	JD.com, Inc. Class A	Cons Disc	-12.6%
B1YVKN8	ANTA Sports Products Ltd	Cons Disc	-6.3%
BQB7ZL7	Midea Group Co. Ltd. Class H	Cons Disc	1.3%
BD5CPP1	Midea Group Co. Ltd. Class A	Cons Disc	-2.3%
BP3R3G9	Haier Smart Home Co., Ltd. Class A	Cons Disc	-2.6%
BD5CPN9	Gree Electric Appliances, Inc. of Zhuhai Class A	Cons Disc	-4.6%
BP3R2F1	Kweichow Moutai Co., Ltd. Class A	Cons Staples	-8.7%
6972459	China Resources Beer Holdings Co Ltd	Cons Staples	-12.1%
BD5CPG2	Wuliangye Yibin Co., Ltd. Class A	Cons Staples	-13.1%
BTFRHX0	Foshan Haitian Flavouring & Food Co., Ltd. Class	Cons Staples	-5.8%
BP3R2V7	Inner Mongolia Yili Industrial Group Co., Ltd. C	Cons Staples	-8.2%
BP3R820	Shanxi Xinghuacun Fen Wine Factory Co. Ltd. Clas	Cons Staples	-15.0%
B09N7M0	China Shenhua Energy Co Ltd	Energy	-11.1%
BP3R262	China Shenhua Energy Co. Ltd. Class A	Energy	-17.1%
BS7K5P8	Shaanxi Coal Industry Co., Ltd. Class A	Energy	-17.7%
B0LMTQ3	China Construction Bank Corp	Financials	-5.0%
B1G1QD8	Industrial & Commercial Bank of China Ltd	Financials	-3.2%
B1DYPZ5	China Merchants Bank Co Ltd	Financials	-4.7%
6706250	PICC Property & Casualty Co Ltd	Financials	-1.7%
BP3R273	China Merchants Bank Co., Ltd. Class A	Financials	-6.9%
B8RZJZ1	People's Insurance Co Group of China Ltd/The	Financials	-9.5%
BP3R217	Industrial and Commercial Bank of China Limited	Financials	-2.4%
BD5CP95	Yunnan Baiyao Group Co. Ltd. Class A	Health Care	-5.4%
BMZ1C83	ZTO Express (Cayman) Inc. Class A	Industrials	-1.3%
B0B8Z18	China COSCO Holdings Co Ltd	Industrials	-8.3%
BP3R552	COSCO SHIPPING Holdings Co., Ltd. Class A	Industrials	-3.4%
BP3R358	CRRC Corporation Limited Class A	Industrials	-10.2%
BD5CH66	Zhejiang NHU Co. Ltd. Class A	Materials	-3.5%
BP3R2M8	China Yangtze Power Co., Ltd. Class A	Utilities	-4.9%
6333937	ENN Energy Holdings Ltd	Utilities	-23.1%

Source: J.P. Morgan; MSCI, FactSet, I/B/E/S, Bloomberg Finance L.P.; As of Jun 30. Note: Past performance is not an indicator of future results.

Figure 9: Multifactor Blend: Long Positions for July

Top Longs				
SEDOL	Company	Sector	Rank	1M Return
BD5CG58	Zhejiang Century Huatong Group Co., Ltd. Class A	Comm Svcs	39	-3.6%
6531827	Geely Automobile Holdings Ltd	Cons Disc	34	-8.1%
BN6PP37	Pop Mart International Group Limited	Cons Disc	26	-10.9%
6718255	Great Wall Motor Co Ltd	Cons Disc	46	-15.4%
BZ04KX9	Yadea Group Holdings Ltd	Cons Disc	21	-16.7%
BP3R4T9	HUAYU Automotive Systems Company Limited Class A	Cons Disc	29	-7.4%
BMGW30	Nongfu Spring Co., Ltd. Class H	Cons Staples	37	-7.5%
BD5CMC7	Yantai Jereh Oilfield Services Group Co., Ltd. C	Energy	15	8.8%
BD5CG92	Inner Mongolia Dian Tou Energy Corporation Limit	Energy	33	-25.5%
6718976	China Life Insurance Co Ltd	Financials	31	-5.3%
B2Q5H56	China Pacific Insurance Group Co Ltd	Financials	53	-10.9%
B5730Z1	New China Life Insurance Co Ltd	Financials	20	-5.1%
B2169C6	CHINA INTERNATIONAL CAPITA-H	Financials	22	8.3%
6264048	China Taiping Insurance Holdings Co Ltd	Financials	7	-9.4%
BYW5MY8	Bank of Jiangsu Co., Ltd. Class A	Financials	49	-4.8%
BD5CN46	Hithink RoyalFlush Information Network Co., Ltd.	Financials	1	5.5%
BGHH0L6	WuXi AppTec Co., Ltd. Class H	Health Care	51	17.9%
BY9D3L9	3SBio Inc	Health Care	5	-8.8%
B3ZVDV0	Sinopharm Group Co Ltd	Health Care	4	-1.2%
BHWWLW4	WuXi AppTec Co., Ltd. Class A	Health Care	50	22.2%
BP3R4Z5	Shanghai Pharmaceuticals Holding Co. Ltd. Class	Health Care	9	-6.8%
BD5CL42	China Resources Sanjiu Medical & Pharmaceutical	Health Care	19	-8.3%
6218089	Lenovo Group Ltd	IT	13	-4.2%
B1HHFV6	Kingboard Laminates Holdings Ltd	IT	48	83.2%
BFFJRM7	Zhongji Innolight Co., Ltd. Class A	IT	3	9.0%
BNHPMD5	Cambricon Technologies Corp. Ltd. Class A	IT	14	21.4%
BD761B9	Eoptolink Technology Inc., Ltd. Class A	IT	2	20.1%
BG20N99	Foxconn Industrial Internet Co., Ltd. Class A	IT	25	-2.0%
B1YBT08	Sunny Optical Technology Group Co Ltd	IT	24	-26.2%
BD5CF28	Suzhou Dongshan Precision Manufacturing Co., Ltd	IT	45	22.8%
BP3RC39	Shengyi Technology Co., Ltd. Class A	IT	52	23.6%
BK71F77	Montage Technology Co., Ltd. Class A	IT	58	22.1%
BL5P4J3	Suzhou TFC Optical Communication Co., Ltd. Class	IT	18	-7.0%
BD76164	Victory Giant Technology (HuiZhou) Co., Ltd. Cla	IT	17	-6.3%
B29SH55	BYD Electronic International Co Ltd	IT	16	-27.8%
BPXYTJ5	Yuanjie Semiconductor Technology Co., Ltd. Class	IT	6	66.0%
BGQYNJ1	Xinyi Solar Holdings Ltd.	IT	55	-22.7%
BD5CP28	TCL Technology Group Corporation Class A	IT	47	38.3%
BD5CLB9	Inspur Electronic Information Industry Co., Ltd.	IT	60	8.0%
BQWRJ06	Shengyi Electronics Co., Ltd. Class A	IT	8	-3.9%
BD5CNJ1	Zhejiang Dahua Technology Co., Ltd. Class A	IT	28	-1.5%
BK71BV3	Shanghai Friendess Electronics Technology Corpor	IT	57	-7.3%
BFCCR07	Yealink Network Technology Co. Ltd. Class A	IT	23	-6.7%
BT9QPW8	Contemporary Amperex Technology Co., Limited Cla	Industrials	43	-5.8%
BHQPSY7	Contemporary Amperex Technology Co., Ltd. Class	Industrials	42	-7.6%
6196152	CITIC Ltd	Industrials	38	-16.1%
BD5CGB4	Sungrow Power Supply Co., Ltd. Class A	Industrials	56	-10.9%
BP91NG5	Ningbo Deye Technology Co., Ltd. Class A	Industrials	12	-8.5%
BP3R5T6	Yutong Bus Co., Ltd. Class A	Industrials	27	-17.3%
BQ3RQ89	Dajin Heavy Industry Co., Ltd. Class A	Industrials	11	-20.6%
B60FNV8	China Gold International Resources Corp. Ltd.	Materials	10	-18.5%
BD5CF40	Yintai Gold Co., Ltd. Class A	Materials	54	-24.5%
BSY22K1	Shandong Hongqiao Aluminum Industry Holding Comp	Materials	44	-30.7%
BZ0D1S8	Chifeng Jilong Gold Mining Co., Ltd. Class A	Materials	40	-21.4%
BD5M0H8	Hunan Valin Steel Co., Ltd. Class A	Materials	59	-9.7%
BMXWXT6	China Resources Mixc Lifestyle Services Ltd.	Real Estate	36	-9.8%
BZBY9R5	C&D International Investment Group Ltd.	Real Estate	35	-14.5%
6099671	Huaneng Power International Inc	Utilities	41	-18.6%
6913168	Guangdong Investment Ltd	Utilities	30	-7.1%
6081690	Beijing Enterprises Holdings Ltd	Utilities	32	-10.6%

Source: J.P. Morgan; MSCI, FactSet, I/B/E/S, Bloomberg Finance L.P.; As of Jun 30

Figure 10: Multifactor Blend: Short Positions for July

Top Shorts				
SEDOL	Company	Sector	Rank	1M Return
BD5CN13	Kunlun Tech Co., Ltd. Class A	Comm Svcs	23	-8.4%
BGJW376	Meituan Dianping Class B	Cons Disc	42	-6.8%
BP9XV6	NIO Inc. Class A	Cons Disc	50	-8.9%
BP6FB33	XPeng, Inc. Class A	Cons Disc	44	-20.7%
BMW5M00	Li Auto, Inc. Sponsored ADR Class A	Cons Disc	26	-20.4%
BJLFLB4	BAIC BluePark New Energy Technology Co., Ltd. Cl	Cons Disc	56	-20.5%
BP3R477	Guangzhou Automobile Group Co., Ltd. Class A	Cons Disc	8	-16.6%
BD5CQP8	CCOOP Group Co., Ltd. Class A	Cons Disc	25	-23.8%
BD5CPF1	Jiangsu Yanghe Brewery Joint-Stock Co., Ltd. Cla	Cons Staples	14	-13.0%
BD5CNF7	New Hope Liuhe Co., Ltd. Class A	Cons Staples	37	-20.8%
BP3R5Q3	Yonghui Superstores Co., Ltd. Class A	Cons Staples	17	-23.5%
6782045	China Shipping Development Co Ltd	Energy	43	-13.5%
BP3R555	Yanzhou Coal Mining Co. Ltd. Class A	Energy	59	-18.7%
BD8P9J9	Bank of Shanghai Co., Ltd. Class A	Financials	30	-1.9%
BP3R2W8	Bank of Beijing Co., Ltd. Class A	Financials	45	-4.0%
BZ0D003	ORIENT SECURITIES CO LTD Class A	Financials	60	1.1%
BD6QTV6	CNPC Capital Co Ltd Class A	Financials	18	-15.2%
BFB4KN8	Zheshang Securities Co. Ltd. Class A	Financials	24	0.3%
BK94886	Tianfeng Securities Co., Ltd. Class A	Financials	29	0.3%
BD5CN96	Guoyuan Securities Company Limited Class A	Financials	31	6.1%
BLFJ7Y1	Akeso, Inc.	Health Care	38	-25.5%
BPH27W4	Sichuan Biokin Pharmaceutical Co., Ltd. Class A	Health Care	9	-25.4%
BP3R7Z6	Zhangzhou Pientzhuang Pharmaceutical Co., Ltd.	Health Care	49	-15.2%
BL61WD0	CSPC Innovation Pharmaceutical Co., Ltd. Class A	Health Care	33	1.4%
BD5CJY8	Chongqing Zhifei Biological Products Co., Ltd. C	Health Care	1	-14.2%
BMXTWX4	Beijing Wantai Biological Pharmacy Enterprise Co	Health Care	11	-22.4%
BD5LWT1	Hebei Changshan Biochemical Pharmaceutical Co.,	Health Care	20	-43.4%
BS5YNY7	Horizon Robotics Class B	IT	2	-22.9%
BZ8XTR4	GCL-Poly Energy Holdings Ltd	IT	6	-16.9%
BMDJ6Q5	Pony AI Inc. Class A	IT	41	-31.4%
BNR4NR3	National Silicon Industry Group Co. Ltd. Class A	IT	7	43.6%
BP3R3R0	Sanan Optoelectronics Co., Ltd. Class A	IT	19	35.3%
BSY23F3	United Nova Technology Co. Ltd. Class A	IT	53	31.2%
BK4XS11	Maxscend Microelectronics Company Limited Class	IT	28	1.1%
BD5CKJ0	China Greatwall Technology Group Co Ltd Class A	IT	57	6.7%
BP3RCK6	Tongwei Co. Ltd. Class A	IT	16	-18.3%
BNHPM68	Jinko Solar Co., Ltd. Class A	IT	15	-19.2%
BD5CMT4	Tianjin Zhonghuan Semiconductor Co., Ltd. Class	IT	5	22.9%
BNRLFT0	Xinjiang Daqo New Energy Co. Ltd. Class A	IT	12	-10.8%
BD5CM72	Guangzhou Haige Communications Group Incorporate	IT	34	-19.6%
BP3R6C6	Yonyou Network Technology Co. Ltd. Class A	IT	27	-11.8%
BMVB500	JA Solar Technology Co., Ltd. Class A	IT	21	-11.4%
BNHPGJ9	Robotechnik Intelligent Technology Co., Ltd. Cla	Industrials	4	-3.5%
BP3R518	AECC Aviation Power Co Ltd Class A	Industrials	51	-7.8%
BP3R5X0	China Eastern Airlines Corporation Limited Class	Industrials	32	-13.5%
BP3R4G6	Air China Limited Class A	Industrials	58	-11.4%
BP3R6G0	China Southern Airlines Company Limited Class A	Industrials	47	-5.9%
BP3R4K0	Metallurgical Corporation of China Ltd. Class A	Industrials	46	-14.0%
BD5CB19	Ganfeng Lithium Co., Ltd. Class A	Materials	52	-8.8%
BP3R819	Guangdong HEC Technology Holding Co. Ltd. Class	Materials	48	-6.0%
BP3R488	Inner Mongolia Baotou Steel Union Co. Ltd. Class	Materials	40	-5.8%
BMQBTG9	Canmax Technologies Co., Ltd. Class A	Materials	36	11.7%
BD5CHF5	Yunnan Tin Co., Ltd. Class A	Materials	55	13.5%
BFYQH85	Hoshine Silicon Industry Co. Ltd. Class A	Materials	13	26.4%
BD5LS71	Lomon Billions Group Co Ltd. Class A	Materials	39	14.9%
BFB4KH2	Baiyin Nonferrous Group Co Ltd Class A	Materials	22	-19.2%
BD5CPW8	China Vanke Co., Ltd Class A	Real Estate	3	-16.9%
6460794	China Gas Holdings Ltd	Utilities	54	-25.3%
BP91P36	China Three Gorges Renewables (Group) Co., Ltd.	Utilities	10	-11.3%
BP3R1P4	Wintime Energy Group Co. Ltd. Class A	Utilities	35	-11.8%

Source: J.P. Morgan; MSCI, FactSet, I/B/E/S, Bloomberg Finance L.P.; As of Jun 30

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